APPROACH 3: DON'T START WITH CREDIT

We have been trying for decades to expand credit. We have focused much less on easing payments and remittances, on expanding remunerative savings vehicles, or on providing easy-to-obtain insurance against crop failures. In the emerging financial inclusion paradigm, the government and the RBI are trying to expand inclusion by encouraging these other products, allowing credit to follow them rather than lead. Indeed, many successful organizations working with the poorest of the poor try to get them to put aside some money as savings, no matter how little, before giving them loans. Some of our self-help groups (SHGs) work on this principle. Not only does the savings habit, once inculcated, allow the customer to handle the burden of repayment better, it may also lead to better credit allocation.

Easy payments and cash out will make formal savings more attractive. Today, a villager who puts money into a bank has to either trudge the 'last miles' to the bank branch to take out her money, or wait for an itinerant banking correspondent to come by. We are engaged in strengthening the network of banking correspondents; by creating a registry of banking correspondents, giving them the ability to take and give cash on behalf of any bank through the Aadhaar Enabled Payment System (which will also give them adequate remuneration), and requiring that they are adequately trained in providing financial services. Cash-in-cash-out points will expand soon as the Postal Payment Bank and telecom-affiliated payment banks make post offices and telephone kiosks entry points into the financial system. Perhaps, most interestingly, transfers from bank account to bank account will become easier in a few weeks via mobile through the Unified Payment Interface. A villager needing to pay a shopkeeper only needs to know the latter's alias – say Ram@xyzbank.psp. He